#9 · 3.1% of marks

Ethics — CA in Business (FR Ch 16)

FR asks ethics **through an accounting scenario**. Score = **Ind AS treatment + principle breached + what the CA should do.**

① Five fundamental principles

Principle	Means for a CA preparing FS
Integrity	*Straightforward, honest; not associated with **false / misleading** information or omissions*
Objectivity	*No bias, conflict of interest or **undue influence** overriding judgement*
Professional competence & due care	*Keep knowledge current; act diligently per Ind AS; don't undertake beyond expertise*
Confidentiality	*Don't disclose / use information without authority unless legal / professional duty*
Professional behaviour	*Comply with laws; avoid conduct that discredits the profession*

② Conceptual framework approach

***Identify** threats → **Evaluate** (acceptable level? "reasonable & informed third party" test) → **Address** (eliminate circumstances, apply safeguards, or **decline / end** the activity)*

③ The five threats — spot them

Threat	Typical FR scenario
Self-interest	*CFO's **bonus / ESOPs** tied to profit or share price; loan from entity; fear of losing job*
Self-review	*Reviewing a business case / valuation you prepared*
Advocacy	*Promoting the entity's position so strongly that objectivity suffers (e.g., to a bank)*
Familiarity	*Close relative is a key supplier / customer; long relationship with a director*
Intimidation	*Directors threaten dismissal / demotion unless numbers are "managed"*

4 Preparing & presenting information

- → Prepare per the **applicable framework**; don't use discretion to **mislead** — e.g., pick estimates, **timing** of transactions, **structuring** to achieve an outcome, or selective disclosure
- → **Relying on others' work** (internal / external) → consider their reputation, expertise, resources; be satisfied it's reasonable
- → Information **is or might be misleading** → consult superior / TCWG; insist on correction; consider policies, legal advice; **refuse to be associated**; consider **resigning**

5 Pressure to breach principles

- → Don't allow pressure from others to make you breach, and **don't pressure** others
- → Respond: discuss with person exerting pressure → escalate to superior / audit committee / TCWG → use whistle-blower / ethics channel → legal advice → **disassociate**

6 Financial interests, inducements, competence

- → **Incentives** linked to reported numbers → self-interest; safeguards: independent review by audit committee, remuneration policy
- → **Inducements** (gifts, hospitality) intended to improperly influence → refuse; inform superior
- → **Lack of expertise / time / resources** → obtain training / help, or decline

7 NOCLAR — non-compliance with laws & regulations

CA	Response
Senior CA in business (CFO, director)	Understand the matter; discuss with superior / TCWG; take steps to rectify, remediate, mitigate, deter; disclose to **external auditor**; determine further action — **may disclose to authority**, may resign; document
Other CA in business	Understand; **inform immediate superior** (or next level if superior involved); may consider further action

Confidentiality does not prevent disclosure where the Code / law permits. Check the Code edition and NOCLAR scope prescribed for your attempt.

8 CA Act misconduct links

- → Professional / other misconduct under the **First & Second Schedules** applies to members in service too — e.g., false / misleading statements, gross negligence, disclosing confidential information, conduct bringing disrepute

PYQ / MTP PATTERNS

9 Recent ICAI scenarios — model reasoning

Scenario	Accounting	Ethics
Channel stuffing — goods to distributors without orders, 180-day credit, right of return (PYQ Jan 2026)	Ind AS 115: control not transferred / returns expected → **no revenue** for those	Integrity, objectivity; misleading info; escalate
Marketing spend deferred as an asset	Not an asset (Ind AS 38 / CF) → **expense**	Window dressing
Loan to director shown as cash equivalent to impress bank (MTP Jan 2026)	Ind AS 7: not short-term, highly liquid → **financial asset** (Ind AS 109)	Integrity, objectivity, professional behaviour; **intimidation / advocacy** threats
Lease drafted to avoid covenant breach (MTP May 2025)	Ind AS 116: lease liability recognised regardless of drafting; **substance**	Integrity; faithful representation; refuse, escalate
CFO bonus tied to profit; pressure to delay impairment	Ind AS 36: test & recognise impairment	**Self-interest + intimidation**; audit committee

10 The 3-part answer template

1. **Accounting position** — what the Ind AS requires and why the proposed treatment is wrong (cite para).
2. **Ethical issue** — which **principles** are threatened and which **threats** exist (self-interest, intimidation…).
3. **Action** — discuss with management → escalate to audit committee / TCWG → refuse to be associated with misleading info → legal advice / whistle-blower → resign if unresolved; document.

Never stop at "it's unethical" — **fix the accounting first**, then name the principle, then the action.

✍ **Write in exam**

"The proposal to record revenue on goods shipped without confirmed orders and with a right of return contravenes Ind AS 115, as control has not transferred. As a Chartered Accountant, the CFO must comply with the fundamental principles of integrity and objectivity and must not be associated with information that is materially false or misleading. He should raise the matter with the Board / Audit Committee, insist on correction, and if unresolved, consider legal advice and disassociating himself."